

US defense supply shift from China will be gradual

送信者: EG Daily Brief 受信日時: 2026-09-29 21:44

【メール原文】

The US will use its 1 January deadline to force a long-term overhaul of defense supply chains away from China. Recovering Middle East flows are unlikely|||||||

Daily Brief

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29 Sep 2026 08:37 EDT [Discover more on the Portal](#)

summary

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The US will use its 1 January deadline to force a long-term overhaul of defense supply chains away from China.

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Recovering Middle East flows are unlikely to lower prices amid frequent Iranian attacks, leaving Brent stuck in the \$90-\$110 band.

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Investor positioning suggests Yemen conflict risk to Saudi Arabia's oil revenues has not been priced into currency markets.

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Turkey's €60 billion energy import bill could grow by up to 10% as Washington will likely keep Iranian gas offline, risking what had been improving bilateral ties.

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Countries and sectors in this edition of the Daily Brief include the US, Brazil, China, Ecuador, Iran, Japan, the Middle East and North Africa, Saudi Arabia, Turkey, Yemen, defense, geoeconomics, and oil.

the top line

US, China, Aerospace & Defense—Rules on Chinese materials to force long-term defense procurement reform

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Trump's administration will use its 1 January deadline to remove critical Chinese materials from US defense supply chains to push suppliers toward long-term diversification, if not immediate decoupling.

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The federal government will keep issuing waivers for parts made with Chinese inputs, gradually tightening approval standards and reducing waivers starting in 2028 as defense suppliers move toward compliance.

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Defense suppliers will add to reshoring momentum with help from growing domestic investment, but new mines, refineries, and magnet plants still need years, not months, to reach commercial scale.

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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Oil, MENA Crisis—Rising Middle East flows won't bring prices down quickly

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Prices are likely to remain in the current \$90-\$110 per barrel band for Brent despite increasing US success at moving oil through the Strait of Hormuz.

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Regional flows have recovered above 75% of prewar volumes, but the process is costly, risky, and frequently disrupted by Iranian attacks, preventing the recovery from translating into lower prices.

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Riyadh's likely escalation against the Houthis will increase the risk of attacks on Saudi infrastructure hitting crude exports, though the rapid recovery in flows through the East-West pipeline suggests any disruptions are likely to be temporary.

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Read more here . Reach out to discuss: ecr@eurasiagroup.net .

Saudi Arabia, Geoeconomics, Oil—Chart of the day

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The conflict in Yemen has not been priced as a risk to Saudi oil revenues. Typically, significant falls in oil revenues see currency markets price a higher risk premium into Saudi Arabia's currency peg, its fixed exchange rate to the US dollar.

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Thus far in the conflict, volume losses have been offset by price gains, leaving overall oil revenues broadly stable.

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While currency forward points, an instrument that reflects what traders expect a currency to be worth in the future, are a niche market, they do provide one way to gauge investor pricing of more significant disruption to export volumes.

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Reach out to discuss: geoeconomics@eurasiagroup.net .

Turkey, Iran, US—Washington will likely keep Turkey's Iranian gas offline

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With Iranian gas imports halted since late summer and Russian contracts expiring at year-end, nearly half of Turkey's gas supply is in limbo amid a tight global market.

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We expect Russian gas to continue flowing, but US pressure will likely keep Iranian flows halted, potentially adding up to 10% to Turkey's €60 billion energy import bill, with much of the cost falling on the public balance sheet.

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Washington's dilemma: Pressing Turkey too hard risks what had until now been improving ties, but any flexibility shown for Ankara risks becoming a template for other countries in the region.

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Read more here . Reach out to discuss: mena@eurasiagroup.net .

Brazil—Race leans Lula with campaign dynamics now favoring him

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President Luiz Inacio Lula da Silva's government will likely sustain a steady stream of policy announcements and an aggressive campaign against Senator Flavio Bolsonaro, preserving a slim edge in the race (55% reelection odds).

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Strategic voting will likely narrow Lula's first-round lead as undecided voters consolidate behind the two frontrunners, though even a slim spread could keep the president competitive.

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New corruption allegations against Bolsonaro are a key liability for his campaign, while presidential debates in a run-off will be a potential liability for Lula before the 25 October runoff. Read more here . Reach out to discuss: brazil@eurasiagroup.net

upcoming conference calls

29 September 9:15 PM EST—US-Gulf Cooperation Council update. Register here .

eg in depth

Japan, US—Lessons from Takaichi's Trump playbook: Prime Minister Takaichi Sanae has successfully maintained stable relations with Washington by forging a strong personal relationship with Trump and reinforcing the US-Japan alliance. Her rapport with Trump was on display when the two leaders met this month, with the meeting timed to send a message of continued solidarity to Beijing ahead of Trump's summit with President Xi Jinping. Takaichi's Trump playbook relies on reframing Japanese priorities as serving US interests, increasing investment in the US and in US priorities at home, and preventing irritants from affecting the broader relationship. Read more here . Reach out to discuss: japanresearch@eurasiagroup.net .

Ecuador—Moya's exit increases fiscal risks: Finance Minister Sariha Moya resigned on 28 September, replaced by Bernardo Cordovez, a former board member of Ecuador's Social Security Institute. The change increases fiscal risks given a pending IMF review and signs of budget slippage ahead of November's regional and local elections. Moya's departure appears to stem from disagreements over fiscal policy—a significant loss given that she maintained strong ties with Washington-based multilateral institutions, communicated effectively with markets, upheld budget discipline, and wielded enough personal influence to push back against the president himself. Cordovez's limited public finance experience and less technocratic profile suggest he may be more willing to approve spending increases to boost Noboa's popularity. Noboa holds solid support at 41%, but candidates aligned with Ecuador's left-wing political movement will be competitive in Quito and Guayaquil, and electricity shortages remain

a liability (see note , 17 July). Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Upcoming events:

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29 September: Events: US import bans on certain Canadian products and US tariffs on certain pharmaceutical products take effect; Data: US Conference Board consumer confidence and JOLTS job openings.

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30 September: Data: China PMIs, France, Germany, Italy, and Poland CPI, Japan and South Korea industrial production, Russia unemployment, US consumer income, PCE price index, GDP, and ADP employment change; Central bank decision: Colombia.

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1 October: Events: Hong Kong and China markets close through 7 October; Data: Indonesia, South Korea manufacturing PMI, Eurozone unemployment, US construction spending, and ISM manufacturing.

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2 October: Data: Brazil industrial production, Eurozone CPI, Japan unemployment, Russia GDP, US unemployment, nonfarm payrolls, and factory orders.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, Blaise Hanson, and Trista Kelley.

closing quip

“It reminded me of the beginning of crack in this country. Either you remove the tumor or the tumor will kill us.”—Brazil's Lula said last week, announcing a ban on online gambling as he heads into a tight election.

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